Maggi Reinvented

Q1: Kotler's Eight-Stage NPD Framework Mapping

Idea Generation

Initiative - Consumer demand identification for maggi portfolio expansion
What Nestle India did: The company identified emerging trends across several customer segments, health-benefits in millets, taste for Korean flavours, price sensitivity in rural area and the rise of quick-commerce channels. Demands for healthier alternative, like vegan skincare. These observations provided the raw material for new product innovation.
Idea generation means picking umet needs and consumer shifts. Nestle's approach of scanning demand signals across health, trend, affordability, and distribution angles is market one-o-one.

Idea Screening

Initiative - Portfolio filtering across 140+ launches over 8 years
What Nestle India did was that the company did not pursue every idea. Instead, it applied a recalibrated, strategically filtered portfolio discipline. Some concepts advanced; others were rejected or set aside.
This fits because screening kills bad ideas early before resources are wasted on them. 8 years of saying no to new ideas teaches one what actually matters.

Concept Development

Initiative - Distinct product variety targeting different consumer segments
Nestle India launch Korean noodles for the people setting up the trend. Millet noodles for health-conscious buyers who don’t want to have guilt of eating unhealthily. Rs. 10 variants for price-sensitive rural consumers. Each concept was developed and tested with its intended audience before moving forward to the market.
Concept development takes a raw idea and turns it into a specific product which is targeted to a specific group. Nestle's segmentation and tailored positioning show this stage clearly.

Marketing Strategy

Initiative – Multi channel go-to-market approaches
What Nestlé India did: The team mapped out expansion into rural villages, built the NesMitra retailer app for distributor support, and built separate strategies for e-commerce, quick-commerce, and general trade channels. Price architecture was varied.
Why this fits: This stage answers how the product will actually reach consumers, through what channels, at what price, with what positioning, and via what promotional support. Nestle's detailed channel and geographic roadmap is strategy work.

Business Analysis

Initiative - Financial evaluation of the new announcements before full-scale launch

What Nestle India did is, it team modelled contribution margins, figured in a 22% canibalization rate, calculated fixed launch costs and ran all the numerical calculations before deciding whether to proceed or not.

Business analysis is where you ask whether the idea one is proposing makes money. The company's margin analysis and cannibalization assessment represent the financial gate that separates the feasible products from the products that could result in cannibalisation.

Product Development

Initiative from Nestle - Physical product refinement and innovation

Teams in Nestle developed millet-blend noodles, having reformulated ketchup with 22% less sugar then normal maggi, enginnered single-serve cup packaging and added compostable forks keeping environment in mind as well. These concepts became actual products.

This fits because product development takes the approved concept and then is prepared in the lab and factory. Nestle works on ingredients, formulations and packaging which represents the Research & Development stage in the process.

Test Marketing

The initiative includes phased regional and channel-limited launches

What Nestle India did is, they before going national, Nestle tested their product in defined regions and specific channels. The Millet Fusion Cup Noodles, for instance, would start in the top 4 metro cities before expanding to tier-1 and tier-2 cities.

This fits because test marketing validates all the assumptions and consumer response in a controlled and limited market. Nestle's pilot approach reduced the risk of a failed launch by gathering actual sales data before committing to full scale.

Commercialisation

Launch full-scale with integrated activation is the initiative here

Nestle rolled out the product across multiple channels, ran media campaigns, executed consumer activations, and supported quick-commerce partners with dedicated promotions after sucesful testing.

This fits because comercialisation is launching nationwide with coordinated distribution, marketing and support from sales. Nestle's multi-channel and multi-activity approach demonstrates the phase of full launch.

Q2: Operating Profit Calculation

Data Inputs from the Case:
Reachable consumer base: 24 million
Awareness rate - 55%
Trial rate: 18%
Repeat purchase rate: 35%
Average repeat units per repeater: 5
Net realization per cup: Rs. 24
Variable cost per cup: Rs. 14
Canibalization rate: 22%
Contribution forgone per canibalized unit: Rs. 8
Fixed launch costs Year 1: Rs. 114 million

Step-by-Step Calculation:

Contribution / cup = 24 − 14 = Rs. 10
Aware consumers = 24 million × 55% = 13.2 million
Trial units = 13.2 million × 18% = 2.376 million
Repeaters = 2.376 million × 35% = 8,31,600
Repeat units = 8,31,600 × 5 = 4.158 million
Total units sold = 2.376 million + 4.158 million = 6.534 million
Gross contribution = 6.534 million × 10 = Rs. 65.34 million
Canibalized units = 6.534 million × 22% = 1.437 million
Contribution lost to canibalization = 1.437 million × 8 = Rs. 11.496 million
Net contribution = 65.34 million − 11.496 million = Rs. 53.844 million
Year 1 operating profit = 53.844 million − 114 million = −Rs. 60.156 million (loss)
Break-Even Analysis: Net contribution per unit (after canibalization) = 10 − (22% × 8) = 10 − 1.76 = Rs. 8.24
Break-even units = 114 million / 8.24 = 13.84 million units

Interpretation:
Year-1 shows a loss of Rs. 60.156 million. The net contribution Rs. 53.844 million is after accounting for canibalization, but fixed costs are Rs. 114 million. The gap is Rs. 60 million which is a loss to us.
To break even, the company would need to sell 13.84 million units. The base case projects 6.534 million. That is a shortfall of 7.31 million units.
What does this mean for the launch decision? The Year 1 math is in loss. But that is only part of the story. Fixed costs are sunk cost once spent. They do not directly change the decision to scale if the product shows positive unit economics, which it does at Rs. 8.24 per cup. Year 1 losses are also normal for convenience-format launches; building distribution and awareness infrastructure costs money upfront.
The real question is repeat purchase. The case itself flagged this themselves: will buyers actually come back for more, or is the millet story just novelty? The base case assumes 35% repeat. If that holds or improves in Year 2, cumulative profitability becomes possible. If it is actually 20%, the product does not recover. Everything hangs on whether this repeat assumption is real or not.

Q3:

I would choose – b option which is Limited Regional Launch with Channel Concentration Specifically, a quick-commerce-led pilot in the top 4 metros (Delhi, Mumbai, Bangalore, Hyderabad) for 6-9 months.
Year 1 base case loses Rs. 60.156 million. Full-scale commercialisation across all 8 metros and 12 tier-1 cities locks in this loss upfront and potentially a larger one if repeat rates disappoint. A limited pilot keeps fixed costs to perhaps Rs. 35–50 million and allows the team to see whether repeat purchase is real before scaling.
The risk is this wiuld be the case itself highlighted the question: "Can a millet proposition sustain repeat purchase after initial buying?" That is not just a concern but is the hinge on which the entire business case turns. Committing Rs. 114 million before answering this question is wrong.
Quick-commerce advantage: The case notes that quick-commerce is growing and suits the product's profile. More important, quick-commerce offers real-time sales data and repeat-purchase visibility that no forecast model can match. Running a 6 to 9 month pilot in this channel lets the team observe whether consumers actually come back to buy, not just predict it.
Even after canibalization, the product delivers Rs. 8.24 per cup in net contribution. In a confined geography, this allows the company to build volume and momentum while keeping exposure tight. If repeat rates hold or improve, the model scales to profitability in Year 2.
It fits the company playbook: Nestle India is not betting the farm on blockbusters. The case describes a portfolio-led approach across 140+ launches in 8 years. Small bets, test, learn, scale what works. A limited regional launch will help in achieving the required target.

Risk of the option I have chosen would be that repeat purchase rate falls below 25% in the pilot. If fewer than 1 in 4 triers return, the product signals weak engagement and should be withdrawn.
Milestone: Hit >=30% repeat purchase rate in quick-commerce within 6 months. This is the gate. Make it, and consider scaling to tier-1 cities and e-commerce. Miss it, and kill the product in favour of higher-performing lines.

Academic Integrity Statement –

I, _____NAMAN JAIN_____ (Full Name), declare that: 1. This submission is entirely my own work and has not been produced in collaboration with any other student. 2. I have not used any generative AI tool to write, paraphrase, or develop any part of this answer. 3. All numerical values used in my answers are drawn exclusively from the narrative and exhibits of the case. Any assumption I introduced myself is clearly labelled as such. 4. I have not used any external market data, industry reports, or internet sources to supplement or replace the case data. 5. I understand that violation of this declaration may result in a zero mark and referral under the institution's academic misconduct policy.
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